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Standard Chartered Bank | Europe

2Q26: 13% PBT beat from better top line. Guidance revised up modestly, limited impact on consensus

- Revenue beat was driven by non-NII and was despite a US\$57m DVA loss. Beats across product lines, led by wealth solutions and transaction services. Net new money of US\$15bn (MSe US\$16bn).
- Opex 2% below MSe/cons, mainly driven by a notable item of US\$74m release of provisions on Korea equity-linked securities portfolio.
- US\$150mn credit charge included additional overlay of US\$44mn. Some increase in early alerts related to Middle East, plus stage 2 increase from exposures already covered by overlays.
- CET1 of 14.2%, ahead of expectation on lower RWAs (although this should reverse in 2H). Share buyback of US\$1bn (MSe US\$1.1bn), with DPS of 20.4c (MSe 13c, cons. 17.8c).
- Revised guidance: NII to be up low single digit YoY (previously flat); Income growth to be around mid of 5-7% (previously bottom); Costs ex notable items to be US\$13.3bn (MSe US\$13.24bn).

Exhibit 1: Standard Chartered 2Q26 earnings review

STAN - US\$ mn	2025	3Q25	4Q25	1Q26	2Q26A	YoY	QoQ	2026 Cons.	Actual vs. Cons.	2Q26E	Actual vs. Mse
Net interest income	2,702	2,737	2,948	2,869	2,871	6%	0%	2,839	1%	2,854	1%
Non-interest income	2,825	2,373	1,978	3,033	2,831	0%	-7%	2,708	5%	2,597	9%
Operating income	5,527	5,110	4,926	5,902	5,702	3%	-3%	5,547	3%	5,451	5%
Operating expenses (ex-levy)	(3,201)	(3,144)	(3,861)	(3,140)	(3,196)	0%	2%	(3,252)	-2%	(3,261)	-2%
Bank levy	0	0	(52)	0	0	n/a	n/a	0	n/a	0	n/a
Total expenses	(3,201)	(3,144)	(3,913)	(3,140)	(3,196)	0%	2%	(3,252)	-2%	(3,261)	-2%
Pre-provision profit	2,326	1,966	1,013	2,762	2,506	8%	-9%	2,295	9%	2,190	14%
Loan impairment	(119)	(188)	(148)	(296)	(150)	26%	-46%	(239)	-37%	(189)	-21%
Other impairment	(4)	(22)	(24)	(2)	(19)	375%	850%	(9)	111%	(8)	138%
Profit from Associates & JV	77	10	(27)	(14)	(3)	-104%	-79%	17	-118%	(10)	-70%
Statutory Profit before tax	2,280	1,766	814	2,450	2,334	2%	-5%	2,064	13%	1,983	18%
Other Key Information											
CRD IV Capital (\$)	37,260	36,594	36,440	35,616	37,003	-1%	4%	36,800	1%	36,367	2%
CRD IV Risk Weighted Assets (\$bn)	259,684	258,378	258,031	266,186	261,451	1%	-2%	267,800	-2%	266,942	-2%
CRD IV CET1 Ratio (%)	14.3%	14.2%	14.1%	13.4%	14.2%	(15bps)	77bps	13.7%	46bps	13.6%	53bps

Source: Company data, Company consensus, E=Morgan Stanley Research

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Standard Chartered Bank (STAN.L, STAN LN)

Banks | United Kingdom

Stock Rating	Overweight
Industry View	Attractive
Price target	2,369p
Shr price, close (Jul 28, 2026)	2,097p
52-Week Range	2,278-1,285p
Up/downside to price target (%)	13
Avg daily trading value (mn)	£102
Security Performance (YTD) (%)	15.1

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (US\$)**	1.95	2.18	2.57	3.09
Prior EPS (US\$)**	-	-	-	-
EPS (US\$)§	2.21	2.30	2.78	3.21
DPS (US\$)	0.61	0.66	0.77	0.93
Div yld (%)	2.5	2.4	2.8	3.3
P/E	12.6	12.8	10.8	9.0
Tang BVPS (£)	12.84	13.82	14.92	16.31
Tang BV (US\$ bn)	38.9	39.6	41.3	43.3
P/tang BV	1.42	1.52	1.41	1.29
Return on avg tang eqty (%)	12.4	12.6	13.9	15.4
RWA, Basel 3 (US\$ bn)	258	271	284	298
Core tier 1 capital ratio, Basel 3 (%)	14.1	13.5	13.6	13.5
CRDIV leverage ratio	4.7	4.5	4.5	4.4

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

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e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Standard Chartered Bank (STAN.L)

Gordon Growth model, probability-weighted 25% bull, 70% base, 5% bear (based on the likelihood of different macro outcomes, as well as return and franchise improvements).

Key assumptions:

- Cost of equity: 10% base, 9% bull, 15% bear.
- Return on allocated equity: 10% bull, 10% base, 9% bear
- Terminal growth: 2.5%

The result: target P/Bs 2.2x bull, 1.5x base, 0.5x bear.

Risks to Upside

- Faster-than-expected macroeconomic growth and resilience, causing better-than-expected asset quality
- Better-than-expected non-interest income growth
- Rates trough above 3%
- Bank able to return capital sooner than currently expected

Risks to Downside

- Incremental deterioration in asset quality
- Greater pressure on interest rates
- Asian macro climate deteriorates
- Failure to deliver on cost targets

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(as of June 30, 2026)

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Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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Stock Rating History: 7/1/21 : E/A; 5/17/22 : E/I; 9/15/22 : E/A; 10/1/24 : E/I; 5/21/25 : E/A; 11/24/25 : O/A

Price Target History: 3/2/21 : 470; 8/11/21 : 480; 2/16/22 : 547; 6/8/22 : 618; 7/6/22 : 645; 10/17/22 : 797; 2/13/23 : 693; 2/17/23 : 845; 4/18/23 : 821; 7/11/23 : 797; 7/31/23 : 891; 10/27/23 : 835; 12/12/23 : 877; 1/11/24 : 902; 2/26/24 : 940; 5/3/24 : 1016; 7/8/24 : 1003; 8/1/24 : 1000; 10/7/24 : 1012; 10/31/24 : 994; 1/4/25 : 1118; 2/27/25 : 1309; 4/9/25 : 1128; 5/6/25 : 1092; 5/21/25 : 1168; 8/1/25 : 1516; 10/7/25 : 1654; 10/31/25 : 1718; 11/24/25 : 1848; 1/13/26 : 2122; 3/14/26 : 1865; 4/13/26 : 1863; 5/13/26 : 2090; 7/7/26 : 2369

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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INDUSTRY COVERAGE: Banks

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/28/2026)
Alvaro Serrano		
AIB Group plc (AIBG.I)	E (05/21/2025)	€10.74
Banco Comercial Portugues SA (BCPLS)	E (03/03/2025)	€1.05
Banco Sabadell (SABE.MC)	E (10/21/2025)	€3.34
Bankinter (BKT.MC)	E (09/15/2022)	€15.99
Bank of Ireland (BIRG.I)	O (11/24/2025)	€18.10
Barclays Bank (BARC.L)	O (09/26/2023)	505p
BBVA (BBVA.MC)	E (10/21/2025)	€23.25
CaixaBank SA (CABK.MC)	E (11/25/2024)	€13.20
Commerzbank (CBKG.DE)	E (09/02/2025)	€37.59
HSBC (HSBA.L)	E (01/13/2026)	1,548p
Lloyds Banking Group (LLOY.L)	O (03/04/2025)	113p
NatWest Group (NWG.L)	E (10/02/2023)	665p
Santander (SAN.MC)	O (03/23/2026)	€12.24
UNICAJA BANCO SA (UNI.MC)	U (01/15/2021)	€3.31
Giulia Aurora Miotto, CFA		
ABN AMRO Bank NV (ABNd.AS)	O (09/22/2025)	€37.82
BNP Paribas (BNPP.PA)	E (09/15/2022)	€108.20
Credit Agricole S.A. (CAGR.PA)	E (07/08/2024)	€18.67
Deutsche Bank (DBKGn.DE)	O (03/27/2024)	€30.94
ING Groep (INGA.AS)	E (03/23/2026)	€29.14
KBC Group NV (KBC.BR)	E (11/24/2025)	€122.80
Societe Generale (SOGN.PA)	O (11/01/2024)	€76.98
UBS Group AG (UBSG.S)	U (06/18/2025)	SFr 42.44
Gulnara Saitkulova		
Bank Pekao S.A. (PEO.WA)	E (03/13/2026)	PLN 237.70

Bank PKO BP (PKO.WA)	O (03/13/2026)	PLN 109.96
BAWAG Group AG (BAWG.VI)	O (05/20/2025)	€171.70
Danske Bank (DANSKE.CO)	O (08/13/2024)	DKr 362.40
DNB (DNB.OL)	U (09/23/2024)	NKr 300.10
Erste Group Bank AG (ERST.VI)	O (01/13/2025)	€113.90
Nordea Bank Abp (NDAFI.HE)	O (11/25/2024)	€17.34
OTP Bank (OTPB.BU)	O (03/13/2026)	HUF 46,040.00
Skandinaviska Enskilda Banken AB (SEBa.ST)	E (05/21/2024)	SKr 219.40
Svenska Handelsbanken AB (SHBa.ST)	U (07/08/2025)	SKr 143.50
Swedbank (SWEDa.ST)	U (02/15/2024)	SKr 372.70
Nick Lord		
Standard Chartered Bank (STAN.L)	O (11/24/2025)	2,097p
Noemi Peruch		
Alpha Bank SA (ACBr.AT)	O (06/15/2026)	€4.17
Banca Monte Paschi Siena (BMPS.MI)	++	€11.56
Banco BPM (BAMI.MI)	U (01/05/2026)	€15.50
BPER Banca (EMII.MI)	O (01/05/2026)	€13.82
CrediaBank SA (CREDIAr.AT)	E (05/12/2026)	€0.92
Eurobank Ergasias SA (EURBr.AT)	O (06/15/2026)	€4.40
Intesa SanPaolo S.p.A. (ISP.MI)	++	€6.48
National Bank of Greece SA (NBGr.AT)	E (06/15/2026)	€16.17
Piraeus Bank SA (BOPr.AT)	O (06/15/2026)	€9.74
UniCredit S.p.A. (CRDI.MI)	O (02/10/2026)	€81.57

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* Historical prices are not split adjusted.

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